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China Industrials | Asia Pacific

WAIC 2026 Takeaways: More Physical AI

Physical AI in China, including industrial AI solutions, humanoids & robotics, and new AI hardware, continues to iterate quickly, driving incremental demand across layers, supporting industrial capex.

WAIC 2026, held in Shanghai on July 17–20, brought together >1,000 companies. President Xi delivered his first-ever keynote at this event, highlighting the importance of global AI governance. He emphasized China's support for AI innovation and the multiple "AI plus" initiatives to build industry ecosystems. AI should not be a single-country performance but a product of global cooperation. He also announced the launch of WAICO and 5,000 training opportunities for developing countries.

Robotics/smart hardware was the most crowded field, accounting for 24% of participating companies, followed by compute, chip & infra (20%), and industry AI applications (13%), according to Jazzyear (a tech-focus thinktank).

Industrial agentic solutions is an emerging field. It now concentrates on operational monitoring and decision support, and is gradually expanding into engineering automation. As AI agents begin to generate measurable productivity gains, we believe this will drive a shift to subscription-based recurring revenue and equipment upgrades. Also, the specific industry model could enable new solutions, such as material/chemical prediction & simulations.

AI is penetrating daily life, beyond just as pure software. We saw increasing smart hardware at WAIC 2026, such as AI-glasses (Alibaba Qwen, iFlytek) and AI-enabled pet/desktop companionship devices. This marks the early stage of physical AI: first the sensing layer/embodyment, then the execution layer (whether as a robot or other hardware).

Focus for humanoids is oriented on application abilities, mainstream use cases concentrated, new applications exploration continues. Deployment is the key focus this year, particularly how humanoid robots can integrate with production lines/flows. Industrial pick-and-place remains the priority, with ongoing efforts to adopt humanoids in wire-harnessing and plug-in tasks. We expect a fragmented market given limited generalization and engineer-intensive deployment; different integrators are working with different clients at this early stage.

Data repeatedly emphasized as the key bottleneck, with focus shifting to data collection without using humanoid robots directly, including egocentric or UMI solutions. A surge in data-related companies and government efforts could accelerate data accumulation, but differentiation will be proprietary data pipelines for labeling, decomposition, analysis, and rating. World model, bionic robot, and visual-tactile sensors are other themes we observed.

MORGAN STANLEY ASIA LIMITED+

Sheng Zhong

Equity Analyst

Sheng.Zhong@morganstanley.com

+852 2239-7821

Carlos Chai

Research Associate

Carlos.Chai@morganstanley.com

+852 3963-3180

Chelsea Wang

Equity Analyst

Jinlin.Wang@morganstanley.com

+852 2239-1118

Andy Huang

Research Associate

Huang.Andy@morganstanley.com

+65 6834-6446



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Detail Takeaways

Industrial AI

Solutions are emerging. Industrial AI has moved beyond conceptual toward deployable agentic systems for different process steps, although the broader transformation remains at an early stage. For now, these solutions primarily augment/support rather than replace human decision making. World model/digital twin at PipeChina helps engineers better monitor and predict the system, while industrial agentic operating systems, such as Cosmoplant's BaaS industrial brain, aggregate information and data across equipment and production processes, allowing operators to make faster and better-informed decisions. Per their staff, the system deployment is expanding across 3C electronics, home appliances and machinery. This operational monitoring approach is relatively easy to implement because it generally does not require additional licensing from equipment providers, as long as end-users are willing to open their operational data to solution providers. On the engineering side, Siemens' [Eigen](#) Engineering agent, trained on Siemens' extensive installed-base data, can understand natural language and autonomously support PLM and HMI programming, allowing engineers to focus on more complex tasks. Other applications are seeing reduced deployment time; for example, AI-assisted inspection – Microintelligence leverages AI to plan and program movement for camera-equipped robotics arms, allowing them to capture different angles for quality inspection. The system now requires less than a month post-training for new use cases. Flexible manufacturing, such as IndustrialNext's model, which is a combination of ViT and VLA, can self-adapt manufacturing processes in different products in various clients with transfer time as low as 8 hours.

Equipment upgrades are required for AI/data connectivity. Our discussions with solution providers highlighted a recurring constraint: much of China's installed industrial equipment has limited connectivity and poor cross-equipment interoperability. As a result, the data layer required for AI deployment often does not exist off the shelf. Client equipment must first be digitalized or upgraded before sufficient data can be collected for model training and deployment. As agentic AI solutions increasingly demonstrate measurable value across industries, we expect adoption requirements to drive further equipment upgrades, potentially supporting a prolonged industrial capex cycle.

Early signs of a shift toward subscription-based monetization. Monetization for industrial agents is beginning to migrate from one-off project fees toward recurring annual subscriptions. Combining hardware sales with continuous post-training models (therefore ongoing token consumption) provides a natural ground for recurring pricing. The transition remains at an early stage. Nevertheless, we expect service revenue contribution to increase as solution capabilities broaden and customer adoption scales.

Robotics and Humanoids

Deployment is the consensus, mainstream use cases concentrated, new applications exploration continues. Many humanoid integrators have similarly developed broad product portfolios targeting different use cases, including full-size and half-size bipedal humanoids, wheel-based humanoids and quadruped robots. Consistent with our 2026

outlook, there is broad industry agreement that this is the year of real-world deployment. The most common targeted use cases are in pick-and-place tasks, including material and box handling, logistics sorting and utility inspection. As this type of task is the key early use case, the market remains fragmented with limited generalization ability, and an engineer-heavy nature for deployment, with different integrators working with different clients. Beyond this, we see ongoing effort to adopt humanoids in new use cases – for example, Tars humanoid fleet working in wire-harnessing lines, Psibot humanoids in CPO manufacturing lines across plug-ins, vacuum sealing, and boxing. There is a growing number of household humanoids, such as Futuring Robot and Fourier, targeting emotional companionship and providing certain household capabilities.

Data remains the universally cited bottleneck. As highlighted in our [previous note](#) and reiterated by nearly every company we met, data remains the key constraint on the advancement of robotic foundation models. Beyond data volume, diversity and quality may be even more important, particularly for model generalization. To address data scarcity, the industry is increasingly collecting training data without using humanoid robots directly, including through egocentric or first-person video and Universal Manipulation Interface (UMI) solutions. This has led to a surge in “data infrastructure” companies offering outsourced data-collection services.

In our view, these startups provide relatively similar services with limited differentiation, making this a layer of rapid commoditization (i.e., data price quick deflation), although their ability to serve multiple customers may support industry-wide improvement. In contrast, the proprietary data pipelines of integrators and model companies are becoming increasingly important, with capabilities like labeling, decomposing complex activities into individual tasks and actions, analyzing action context, and rating data quality.

Large technology incumbents are circling the sector. The consequential forward-looking development is the entry of large technology companies. Ant Group appears to be the most active. Its subsidiary, Robbyant, has introduced a full model portfolio spanning vision-language-action (VLA), vision-action (VA) and world models, supporting deployment across 20+ robot hardware platforms. It is also actively acquiring external data from data-infrastructure startups to broaden the diversity of its training datasets. JD.com, through JoyInside and its portfolio companies; Tencent, through partnerships with Dobot and internal R&D; and even LLM startup StepFun, through its partnership with Dexamel, are all stepping into embodied intelligence. For now, these incumbents are primarily positioning themselves at the frontier research or establishing the early ecosystem, rather than entering the competition. Nevertheless, we think once the technical path begins to converge, well-capitalized technology players could enter the market more aggressively, likely to focus on the brain/capabilities layer.

World models were a major theme at WAIC, with most leading players claiming to have developed proprietary world or world-action models. However, our discussions with sales and technical staff showed that VLA models combined with reinforcement learning (RL) remain the more practical route to deployment today. In our view, world models could provide better generalization abilities with early research evidence showing better zero-shot task performance. Nevertheless, VLA combined with real-world post-training/RL could see a better performance and efficiency for specific tasks. A hybrid path could continue until the industry accumulates enough data for world model generalization breakthroughs.

Visual-tactile sensing is emerging, with a growing number of startups pursuing broadly similar technologies. This approach uses cameras to capture deformation in a gel or silicone pad embedded in the fingertip. In theory, this enables higher-resolution and multimodal signal capture while leveraging advances already made in computer vision. However, costs remain high, and several technical barriers have yet to be resolved, including durability, size and interoperability with existing algorithms. Initial adoption is starting in high-end dexterous hands.

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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.53
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.54
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.65
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb91.72
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb14.72
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb86.16
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb40.35
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb95.72
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb55.46
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$9.69
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb13.51
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$4.81
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.03
DR Laser (300776.SZ)	E (12/17/2021)	Rmb110.54
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb34.37
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.22

Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb31.70
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb12.45
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb103.51
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb36.39
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb300.88
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb19.56
Shenzhen Inovance Technology (300124.SZ)	++	Rmb59.73
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb54.33
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$36.34
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb167.54
Times Electric (3898.HK)	E (01/22/2026)	HK\$33.70
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$29.66
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb24.29
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb37.45
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb31.27
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb51.87
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb20.28
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb36.21
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$6.99
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.38

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.